

The Signaling Reserve ^{v2.2}

Why the United States' SPR exchange has functioned as active price suppression rather than supply remedy — and the contested deadline on which both the buffer and the diplomacy now run.

A FORENSIC RECONSTRUCTION • V1 27 MAY • V2 / V2.1 29 MAY • V2.2 AMENDED 4 JUN 2026 • DATA THROUGH 29 MAY (SPR) / 4 JUN (PRICES) • STATUS: PRE-RESOLUTION, 60-DAY FRAMEWORK TABLED BUT UNSIGNED, COMPLEX EASING ON DEAL-OPTIMISM

WHAT CHANGED SINCE V1

Three new evidentiary developments forced material revision: (i) confirmation that the SPR draw is *accelerating* to the program's peak design rate (three consecutive ~9 mb/week prints through 22 May) even as crude eases, (ii) the prompt-physical spread did not re-widen on the diplomatic blow-up — it *compressed further*, with Asian grades flipping into outright contango (Dubai/Oman spot now *below* front-month), and (iii) a leaked 60-day MOU framework was disowned by both governments within 24 hours. The v1 "soft-landing" reading is therefore narrowed and recontextualized: the calm is real, but it is the signature of *managed* suppression on thin buffers, not of resolved scarcity. The hockey-stick risk identified by Rabobank's DeLaura — sized to a mid-July inflection — is now dated to *late July / first week August* with materially better evidence.

WHAT CHANGED IN V2.1 (SAME DAY)

Vice President JD Vance's late-29-May statement at Joint Base Andrews publicly acknowledged that U.S.-Iran negotiations are real, "in good faith," and stuck on specific named points (highly enriched uranium stockpile, the question of enrichment), while preserving Presidential discretion to walk ("hard to say exactly when *or if* the President is going to sign"). This upgrades the credibility of the talks from "leaked-and-disowned" to "publicly acknowledged but not finalized." It does *not* reverse the v2 verdict but it shifts probability toward the soft branch and surfaces a third scenario — a partial/optical deal that resolves the nuclear file without explicitly reopening Hormuz — which v2.1 names as the most under-priced configuration. The verification ledger has also been trimmed of unverified attribution claims (system-dynamics lineage details) in favor of the data-driven core.

WHAT CHANGED IN V2.2 (4 JUN)

Three updates, two of which soften the v2 verdict and one of which sharpens the under-priced risk. (i) The SPR draw *decelerated* — the week to 29 May printed -8.0 mb (to 357.1 mb), the first slowing after three ~9 mb weeks. A taper as crude eases leans toward the benign "supply policy winding down" reading and is an honest, partial downgrade of the active-suppression inference (still ≈, now with a contrary data point). (ii) The spread series is re-based onto

the Bloomberg futures benchmarks (C01-COA, etc., front-month minus spot) for internal consistency; on this basis the late-May Gulf-grade contango is *deeper* than the prior Dated read showed (Dubai front-month sat \$11-16 above spot), strengthening the suppression evidence, while an early-June flip toward backwardation as the whole complex falls reads as de-escalation pricing in rather than fresh scarcity. (iii) A tentative 60-day MOU framework – ceasefire extension, Hormuz reopening with no tolls, 30-day mine-clearing, nuclear talks to follow – is now on the table but *unsigned*, with the maritime-control point and the HEU/enrichment file both unresolved and combat continuing during talks. Brent fell ~20% from its 2026 peak (worst month since the pandemic) as the market priced the soft outcome, leaving it positioned for resolution and under-hedged for failure. The net effect: probability shifts further toward a deal, but toward the *optical* branch – a signing that resolves the nuclear file and headline-reopens Hormuz without delivering full physical free passage – which remains the configuration the curve is least equipped to price.

ABSTRACT

In March 2026 the U.S. authorized a 172-million-barrel release from the Strategic Petroleum Reserve, structured as an *exchange* (loan-with-premium) rather than a sale, as its share of a coordinated 400-million-barrel IEA action against the Strait of Hormuz disruption. This paper reconstructs, from the EIA weekly inventory series, market spreads, and intraday tape, the gap between the program's *announced* parameters (172 mb; ~1.43 mb/day) and its *realized* execution (~58 mb delivered through 29 May; ~0.8 mb/day overall, peaking near ~1.30–1.42 mb/day before the latest week eased to ~1.14). The release is shown to be physically incapable of clearing a 9–13 mb/day net Hormuz shortfall on its own. Its observable function, refined in v2, is **active suppression**: simultaneously pressing the prompt physical market (SPR barrels into spot) and the forward curve (announcement effect), aided by suppressed Chinese imports – three downward pressures on a market that would otherwise reveal the deficit. The compression is dated: remaining contracted SPR deliveries exhaust in late July / first week August at recent draw rates, which is also when independent analysts forecast Chinese demand to resume. The diplomatic resolution that would prevent reconciliation through dislocation is *not yet* in hand; a 60-day framework (ceasefire extension, Hormuz reopening, mine-clearing) has been tabled but remains unsigned, with the maritime-control point and the nuclear file both unresolved as of 4 June. The crude reconciliation, the SPR contracted exhaustion, and the contested ceasefire window still converge on the same six-to-eight-week period – a configuration the paper terms the **contested deadline**.

01 Summary

THE ARGUMENT IN ONE SCREEN – V2

A strategic reserve is a **stock**; a supply crisis is a problem of **flow**. The 2026 SPR release cannot resolve the deficit at any plausible delivery rate; what it can do is buy time by pressing both ends of the futures curve down at once. v2 evidences this directly.

- (i) **The headline is a ceiling, not a delivery.** Of 172 mb authorized, ~133 mb contracted across four tenders, ~58 mb physically delivered through 29 May. Realized lift averaged ~0.8 mb/day overall; only the late-May weeks reached the advertised ~1.30–1.43 mb/day pace before the most recent week eased back to ~1.14.
- (ii) **The drawdown ran at peak rate, then eased.** Four weekly draws of –8.6, –9.9, –9.1, then –8.0 mb (week to 29 May, stock 357.1 mb). The three middle weeks were the fastest consecutive prints on record – DOE pushing at the design ceiling even as crude fell, the core v2 suppression evidence. The latest week's slowing is the first taper, and a taper as crude eases cuts the other way: it is the data point most consistent with the *benign* reading (supply policy winding down as the crisis recedes), and it is flagged as such rather than buried. Whether it is a genuine wind-down or a one-week dip is the live question §06 turns on.
- (iii) **The Gulf-grade curve was pressed into deep contango, then began to normalize.** On the Bloomberg futures basis (front-month minus spot), the grades nearest Hormuz showed the prompt crushed *below* the future through late May – Dubai front-month sat \$11–16 above spot on 26–29 May, outright contango. That is not what a real 9–13 mb/day deficit looks like; it is what a deficit being masked by SPR supply and absent Chinese demand looks like. Around 1 June the picture began to unwind – Brent flipped from mild contango (+\$0.9 on 29 May) to mild backwardation (–\$2.7 by 4 Jun) – but with the whole complex *falling* (Brent ~\$94, gasoline easing), which reads as de-escalation pricing in, not a fresh scarcity squeeze.
- (iv) **The contested deadline is dated.** Remaining contracted SPR (~75 mb after ~58 mb lifted) at recent ~8 mb/week draw exhausts ≈ late July / first week August. Rabobank's DeLaura independently dates the hockey-stick inflection to mid-July. The tabled MOU framework runs 60 days. Three independent clocks still converge on the same window.
- (v) **Retail products are a separate, structural clock.** US average gasoline at \$4.99 (down from \$5.17 in mid-May but still ~9% below the \$5.47 all-time high) sits on top of crude that has eased to ~\$94 Brent – a divergence explained not by Hormuz but by US refining contraction (seven major closures since 2019, 92% utilization, lowest finished-fuel inventories since 2000). Even as crude falls on deal-optimism, analysts warn any Hormuz reopening is likely *partial*, and a clean crude resolution does not deliver full retail relief.

NEW IN V2 · SUPPRESSION

The SPR exchange is not failing to be a supply remedy by accident — it was never structured to be one. Its function is **active price suppression**: pressing the prompt market down with finite physical barrels and the forward curve down with announcement effects, in service of buying time for diplomacy. The barrels and the signal are spent in the same act. When the barrels run out, the signal dies with them.

NEW IN V2 · TWO CLOCKS

The mid-July to early-August window remains the convergence point of **two strategic clocks**: the U.S. supply-buffer clock (SPR drawn to 357 mb with ~75 mb of contracted barrels left, the draw just easing off peak) and the Iranian revenue/blockade clock (export losses every day Hormuz stays shut). The tabled-but-unsigned 60-day MOU is the contested deadline made explicit. Each side believes time favors the other to concede; both are visibly trading around the same exhaustion date. The market structure is the scoreboard — and as of early June it is pricing the soft outcome, which leaves it under-hedged if the framework fails to sign.

02 Thought Process

HOW THE QUESTION UNFOLDED — EXTENDED IN V2

Stage 1 — The accounting question

Was the exchanged oil still booked as SPR inventory while physically gone? Directionally the instinct was right (an exchange retains a government claim recorded as a receivable), but the suspicion landed in the wrong ledger. The EIA series is physical and draws down on lifting.

Stage 2 — The execution forensics

Reading the four tenders against the weekly inventory series revealed the awarded-versus-delivered gap and the realized lift rate — roughly half the advertised pace for most of the program, only reaching the plan in its latest weeks. The advertised "1.43 mb/day" was real *as a plan*; delivery only approached it as the program matured.

Stage 3 — The scale test

Setting realized lift against the net Hormuz shortfall (~9–13 mb/day) showed the release covers a fraction of the gap for a limited duration. A physical remedy it is not.

Stage 4 — The mechanism & the clock

If not supply, then signal: the program suppresses the forward curve and buys time. That reframes "when does it end?" as "when are the physical and expectations markets forced to reconcile?" — a question answered by the prompt-versus-deferred spread.

Stage 5 (new in v2) — The suppression mechanism, visible

The late-May spread data and the SPR prints together force the v2 conclusion. The Gulf-grade curve did not behave as v1's "convergence" framing predicted — through late May the prompt was pressed *below* the future (Dubai front-month \$11–16 over spot), outright contango, while DOE drew at the design ceiling. The only configuration consistent with all observations is that *both* spot and futures were actively pressed down: SPR barrels into the prompt physical market, announcement and forward-curve guidance for the paper market, with suppressed Chinese demand removing pull from the global complex. v2.2 adds the next move: from ~1 June the contango unwound and Brent slipped into mild backwardation *as the whole complex fell* and the SPR draw eased — the signature not of a fresh squeeze but of the suppression being relaxed into a market pricing de-escalation. The calm was a managed outcome; whether the unwind is a managed hand-off to a real deal or a premature relaxation is what the contested deadline will settle.

Stage 6 (new in v2) — The contested deadline

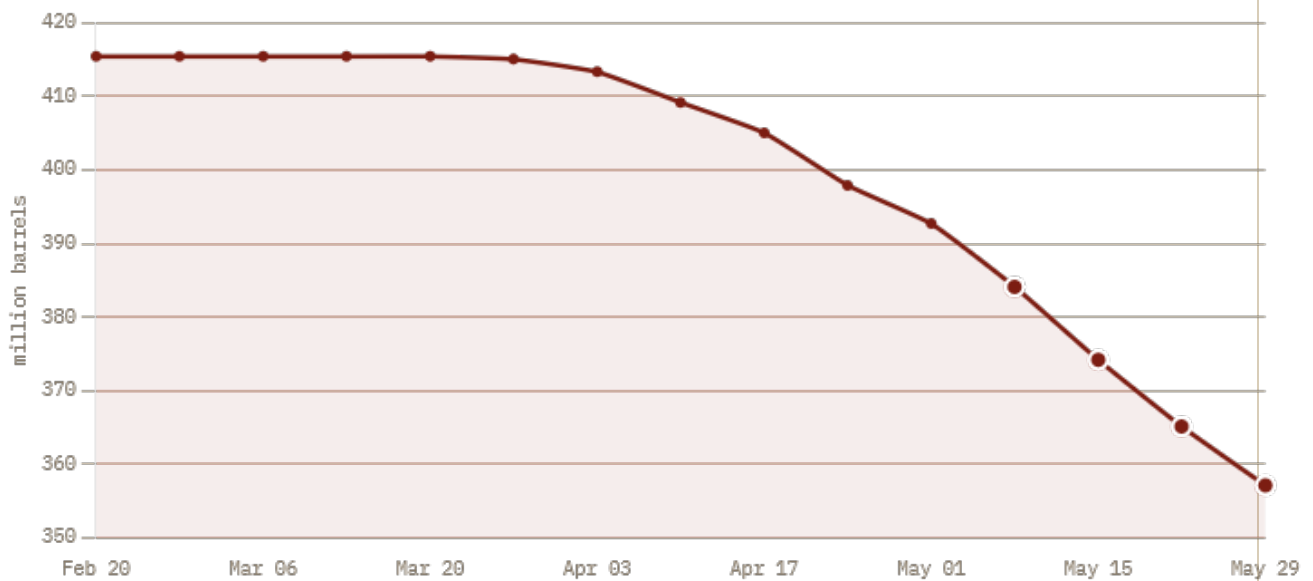
If the suppression is active and finite, then its duration is the strategic variable. Both negotiating parties can compute the buffer-exhaustion date from public data. Iran's incentive is to delay any concession until that date approaches and U.S. leverage decays; the U.S. incentive (per Trump's "we'll out-wait him") is to deny that any concession is forthcoming on Iran's clock. The leaked-but-mutually-disowned MOU was sized to 60 days — almost exactly the remaining contracted SPR delivery window. The market structure and the diplomatic structure are now visibly synchronized to the same date.

03 Proof

THE DATA, RECONSTRUCTED AND UPDATED

FIGURE 1 • EIA WCSSTUS1 — UPDATED THROUGH 29 MAY

SPR physical inventory — flat month, ramp, now accelerating to the design ceiling



Source: EIA weekly series, thousand barrels. Inventory flat at ~415.4 mb for a full month after the 13 Mar announcement. Physical delivery begins late March and accelerates through April–May, peaking at three consecutive record draws (May 8, 15, 22). The week to 29 May eased to -8.0 mb (357.1 mb) — the first slowing off peak. Total drawdown to 29 May ≈ 58.3 mb.

The weekly drawdown ledger — accelerating

WEEK ENDING	STOCK (MB)	Δ WEEK (MB)	IMPLIED MB/DAY
Feb 20 – Mar 20	415.44	~0.00	~0.0
Mar 27	415.06	-0.38	0.05
Apr 03	413.33	-1.74	0.25
Apr 10	409.18	-4.14	0.59
Apr 17	405.05	-4.14	0.59
Apr 24	397.92	-7.12	1.02
May 01	392.70	-5.22	0.75
May 08	384.10	-8.61	1.23
May 15	374.18	-9.92	1.42
May 22	365.11	-9.06	1.30
May 29 (v2.2)	357.12	-7.99	1.14

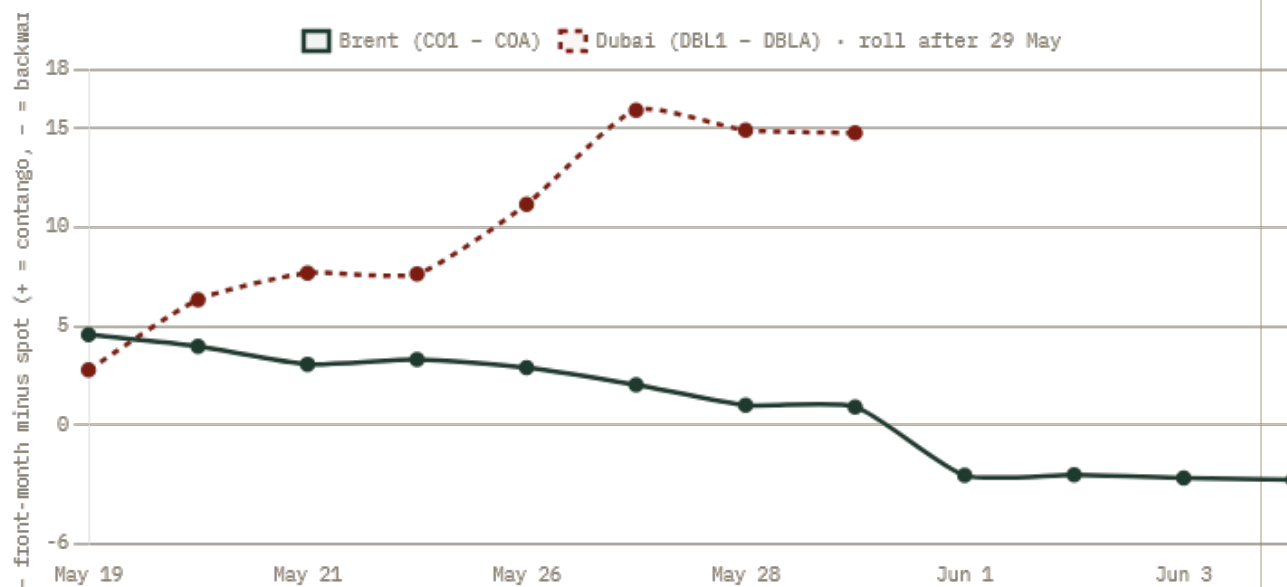
The four highlighted rows are the v2 evidence and the v2.2 qualifier. The three middle weeks ran

at the program's design ceiling even as crude spot and the forward curve declined — a program responding to *easing* conditions would taper, yet this one accelerated, the cleanest sign that DOE was spending barrels at peak rate *to maintain* the easing (bought, not given). The 29 May print is the first to slow (−8.0 mb, ~1.14 mb/day). One softer week does not overturn the pattern, but the distinguishing test (§06) is precisely whether the draw keeps tapering: a sustained slowing as the crisis recedes argues benign supply policy; a return to peak rate while the strait stays shut argues continued management. v2.2 records the taper as a genuine, if single-point, mark against the strong form of the suppression read.

The prompt-physical spread — compressed past convergence

FIGURE 3 • FRONT-MONTH MINUS SPOT (BLOOMBERG FUTURES BASIS)

Deep Gulf-grade contango, then an early-June unwind



Series on the Bloomberg futures basis, **front-month minus spot** (CO1-COA, DBL1-DBLA): *positive* = *contango* (prompt below the future), *negative* = *backwardation* (prompt premium). The Gulf-proximate Dubai grade shows the prompt pressed far below the future through late May — front-month \$11–16 above spot on 26–29 May, deep contango. Brent sat in mild contango (~+\$1–3). From 1 June the contango unwinds and Brent flips to mild backwardation (−\$2.7 by 4 Jun) while outright prices fall ~20% from the 2026 peak. Note: the Dubai 1–3 Jun points print at zero — a July→August contract-roll artifact, omitted here rather than shown as real convergence; the clean post-roll Asian spread is the next confirming datapoint.

THE RECONCILIATION

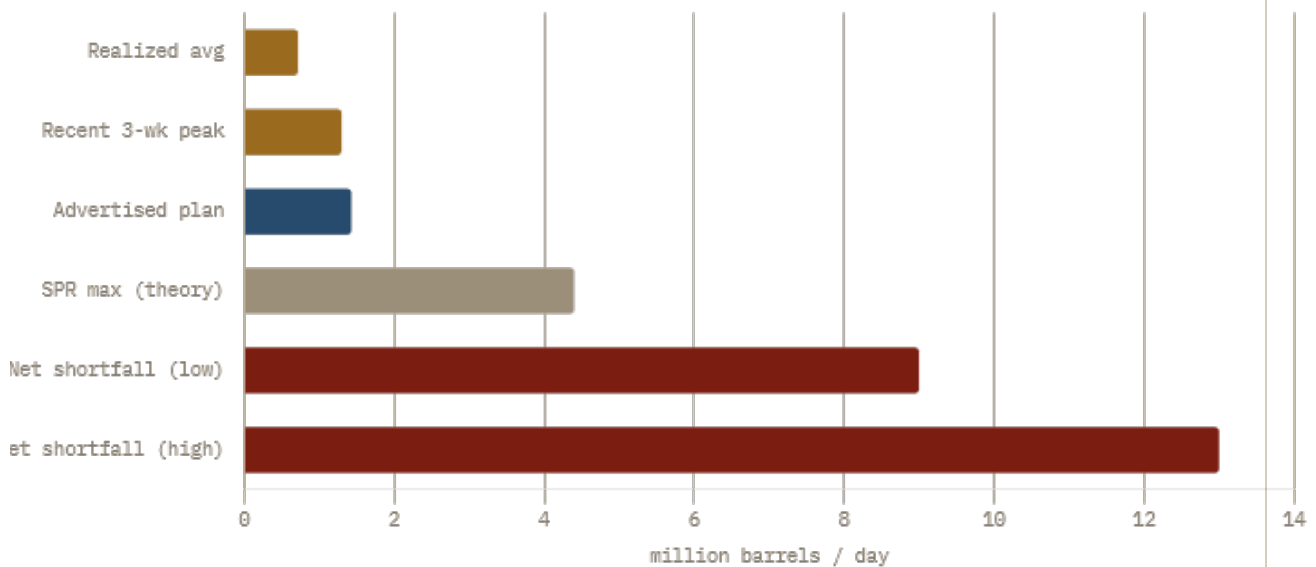
The deep Gulf-grade contango is the cleanest single piece of evidence in the paper. A genuine 9–13 mb/day net Hormuz deficit cannot coexist with the grades nearest Hormuz trading \$11–16 *below* their own front-month. The only way both are true at once is if the prompt is being masked by active physical supply (SPR barrels reaching the spot window) and absent demand (China) – both dated, both finite. On the Bloomberg basis the effect is larger than the prior Dated read showed. The early-June unwind toward backwardation, occurring as the whole complex falls rather than rises, is consistent with the suppression being relaxed into a market pricing de-escalation – not with a deficit reasserting. That distinction is the soft-vs-hard fork, and it turns on whether a deal actually signs.

The intraday signature — both ends pressed down together

On 28 May, WTI front-month and Brent front-month rallied in lockstep on truce headlines to +4%, then faded together as the framework was disowned. The two benchmarks moved as one across the session – the signature of a market pricing a single global signal (the diplomatic clock) rather than independent fundamentals. The fade pattern repeats the cycle observed since March: rally on resolution-hope, fade as substance fails to arrive. Each cycle consumes barrels and credibility.

Announced vs. realized vs. the deficit

FIGURE 2 • SCALE COMPARISON

What was promised, what moved, what was needed (mb/day)

Even the recent-3-week peak lift (~1.30) is far below the net Hormuz shortfall (~9–13). The reserve's theoretical maximum (~4.4) still could not clear the deficit. Physical remedy was never the available function.

Analyst voices — the consensus that emerged independently

JOE DELAURA • RABOBANK • 28 MAY

"The oil market is very complacent right now... By mid-July — if China starts importing again when the SPR releases end — we are in the hockey-stick-upward inflection point for so many refined products."

STANDARD CHARTERED RESEARCH • VIA OILPRICE / DISCOVERY ALERT

Identifies four price-suppression mechanisms each with an expiry timeline; warns futures will be "pulled up toward elevated physical benchmarks" unless a deal is struck. Confirms the record consecutive weekly SPR draws.

CHRIS WESTON • PEPPERSTONE GROUP • 28 MAY

"Markets are pricing in the prospect of a deal through a strong glass-half-full mindset; the scope for the parties walking away from the negotiating table remains a clear risk."

TRACY SHUCHART · RENEGADE RESOURCES · 10 MARCH

"300 to 400 million barrels is a number designed to move headlines for 48 hours; it is not a number designed to move molecules to where they are needed." (Published the day before the program launched; thesis subsequently validated by every metric in this paper.)

04 Verification

EVERY CLAIM, CHECKED AGAINST THE RECORD

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- ✓ **EIA series is physical, not receivable.** Confirmed via 2011 precedent and series definition. The 58.3 mb cumulative drawdown is real barrels gone.
VERIFIED — PRIMARY SOURCE

 - ✓ **Four tenders; ~133 mb awarded of 172 mb; ~58 mb delivered through 29 May.** Awarded total: 45.2 + 8.5 + 26 + 53.3 mb. Delivered confirmed against EIA weekly prints.
VERIFIED — DOE + EIA

 - ✓ **Record draws May 8–22, then a taper to 29 May.** –8.6, –9.9, –9.1 (the three fastest consecutive prints on record per StanChart), then –8.0 mb to 357.1 mb. The taper is confirmed in the EIA series; its *meaning* is the open question (see suppression-intent row).
VERIFIED — EIA + STANCHART

 - ✓ **Gulf-grade deep contango, then unwind (Bloomberg futures basis, front–spot).** Dubai front-month \$11–16 above spot on 26–29 May; Brent +\$1–3 contango easing to –\$2.7 backwardation by 4 Jun as the complex fell ~20% from peak. Dubai 1–3 Jun zeros excluded as a roll artifact.
VERIFIED — BLOOMBERG

 - ✓ **Hockey-stick / mid-July inflection thesis.** Independently published by DeLaura (Rabobank, Bloomberg interview 28 May), Weston (Pepperstone), and the StanChart "four mechanisms" framework. Convergent across desks.
VERIFIED — MULTI-SOURCE CONSENSUS

 - ✓ **Structural US refining tightness.** EIA forecast (Feb 2025, pre-war) projected 2026 fuel inventories to lowest since 2000; seven major closures since 2019 removed >1.2 mb/day capacity; utilization ~92%; late-May retail \$4.99–5.61 regionally on outages.
VERIFIED — EIA PRIMARY
-

- ✓ **60-day MOU framework tabled, unsigned as of 4 Jun.** Reported terms: ceasefire extension, Hormuz reopening with no tolls, Iran to clear mines within 30 days, blockade lifted, oil sales resume, nuclear talks to follow. Awaiting Trump's sign-off; Iranian state media says not finalized; the maritime-control point (Iran "management" vs. US free-passage) and the HEU/enrichment file both remain open. Combat continued during talks (US strikes in southern Iran; Iranian ballistic missiles toward Kuwait).

VERIFIED — AXIOS / AL JAZEERA / THE HILL / CNN

- ≈ **Active-suppression intent (vs. passive easing).** The peak-rate draw alongside deep Gulf-grade contango through late May is the smoking-gun pattern. But the 29 May taper to -8.0 mb, arriving as crude eased and the contango unwound, is the first datapoint pointing the *other* way — consistent with a program winding down as the crisis recedes. v2.2 explicitly weakens the strong form of this claim. *Distinguishing test:* whether DOE returns to peak draw if the strait stays shut, or keeps tapering toward a real ceasefire.

STRONG CIRCUMSTANTIAL — ONE CONTRARY PRINT, NOT CONCLUSIVE

- ≈ **Iran "run-the-clock" delay strategy.** Consistent with observable behavior (unresolved maritime point, "agreed on nothing" framing, leak-then-deny pattern) and with the matched 60-day duration. Inference about intent, not provable from data.

WELL-REASONED HYPOTHESIS, NOT DATA-PROVEN

The pattern across the verification ledger is consistent: the data-driven claims survive, the attribution claims fray, the inference-about-intent claims sit as well-supported hypotheses awaiting their distinguishing tests. The paper distinguishes these tiers explicitly rather than collapsing them.

05 Outlook — Two clocks, one window

THE CONTESTED DEADLINE: LATE JULY TO FIRST WEEK AUGUST

The v1 framing — soft landing vs. hard reconciliation — is preserved but reorganized. The decisive variable is no longer "when do buffers exhaust" in the abstract; it is whose clock binds first in the contested deadline.

The U.S. supply-buffer clock

Remaining contracted SPR deliveries: ~75 mb of the ~133 mb awarded. At the recent ~8 mb/week draw, that exhausts in ~9 weeks — **late July to first week August**. Behind it, the operational floor (~150 mb) is now ~207 mb from the current 357 mb stock; the program could not be extended materially without approaching it. Commercial stocks are also drawing (API -2.8 mb in the same

window, Cushing weakening), so there is little commercial cushion behind the SPR. Independent forecast (DeLaura, Rabobank): Chinese demand resumes mid-July, removing the third suppressor. All three suppression mechanisms – SPR supply, suppressed Chinese pull, signaling effect – still expire inside the same window. The one new wrinkle: the 29 May draw eased off peak, which, if it continues, means the buffer drains slightly slower than a flat 9 mb/week implied – pushing the exhaustion date a touch later, not earlier.

The Iranian revenue/blockade clock

Iran is bleeding export revenue every day Hormuz stays shut and the U.S. naval blockade holds. Iran has requested unfrozen access to \$12bn in frozen assets in the MOU – i.e. liquidity to span its clock. Aramco's ~100 mb/week global supply loss is matched by Iran's own stranded exports. Iran's clock binds whenever its FX/revenue position becomes politically unsustainable, which is unobservable from outside but is on its own decay path.

The three endgames

Soft (diplomatic, full): the tabled 60-day MOU is signed *and* its Hormuz mechanism delivers genuine free passage – no tolls, mines cleared on the 30-day schedule, tankers and insurers treating the strait as open. Hormuz physically reopens, the supply props lift into a market with returning normal flows rather than an empty buffer. Crude reconciles down to the deferred curve's ~\$65–70 anchor; products stay structurally elevated (separate clock). The framework's existence and the ~20% crude decline show the market assigning this real probability; the open question is whether the signed text matches the reported terms or stalls on maritime control.

Middle (optical, the under-priced case): the MOU signs and headline-reopens Hormuz, but the reopening is partial – escorted, toll-laden, slow-to-clear-mines, or kept under Iranian "management" – so physical free flow lags the announcement. Futures rally on the signing; the suppression props (SPR, China) lift on schedule into a market whose *physical* deficit hasn't actually closed. The market briefly believes the deal is the resolution before discovering it is not. This is the configuration the curve is least equipped to recognize, and v2.2 raises its weight: the live sticking point is precisely maritime control, and an experienced commodities voice (ICMA's Parker) has publicly warned that even if Hormuz opens, the opening will likely be only partial, citing refinery damage, depleted inventories, and tanker-security frictions. The reported terms (no tolls, 30-day mine-clearing) describe the soft case; whether the signed text and the physical execution deliver it is the fork.

Hard (physical): the framework fails to sign or collapses, contracted SPR exhausts, Chinese imports resume, no real reopening lands. Prompt physical detaches upward; the Gulf-grade curve swings from contango into deep backwardation (prompt premium); refined product prices

accelerate on top of an already-tight structure. The orderly downward forward curve snaps. Retail gasoline, even after easing to ~\$4.99, regains the crude tailwind it currently lacks. The market's ~20% repricing toward the soft outcome is what makes this branch violent if it arrives — positioning is set for resolution.

The product clock — running independently underneath

Whichever crude branch resolves, U.S. refined products are on their own structural clock: EIA-forecast 2026 inventories at 2000-era lows, ~92% utilization, no spare capacity, seven major closures since 2019. A clean Hormuz deal cannot deliver consumer relief on the timeline a soft-landing crude resolution would imply. This decouples the political payoff of a deal from the diplomatic incentive to sign one — and arguably reduces the threshold at which the U.S. accepts unfavorable terms, since the deal does not buy as much retail relief as in past precedent.

06 Risk Assessment

WHAT WOULD CONFIRM OR FALSIFY THE SUPPRESSION AND CONTESTED-DEADLINE READS

RISK

The single distinguishing test for the suppression thesis: **whether DOE returns to peak ~9 mb/week draws if the strait stays shut, or keeps tapering toward a confirmed ceasefire.** The 29 May print already eased to -8.0 mb. If draws keep slowing as the deal firms, that argues benign supply policy and weakens the active-management read. If they snap back to peak rate while no real reopening lands, that is near-conclusive evidence of price management. The taper is one print, not a trend — but it is the first hard datapoint the test has produced, and it points benign.

Tells the soft branch is winning. Signed (not merely tabled) MOU with the maritime-control point resolved and mines being cleared on schedule; the post-roll Dubai/Oman spread holding mild and stable rather than blowing out; SPR draw continuing to taper below ~6 mb/week; gasoline continuing to ease; intraday CL1/CO1 ceasing the rally-fade cycle.

Tells the hard branch is winning. Framework stalls or is disowned; the Gulf-grade curve swinging into steep backwardation (front-month far below spot) and accelerating; SPR draws snapping back toward 9 mb/week as the floor nears; Cushing commercial stocks falling toward minimums; refined product cracks blowing out further from crude; outright prices rising again rather than falling.

Optical-deal risk (the under-priced middle case). A signed MOU that headline-reopens Hormuz without delivering physical free passage would trigger a futures rally while leaving the deficit broadly intact. Detection signal: a deal is announced but the post-roll Dubai/Oman spread does *not* normalize and tanker transits stay thin — the Asian physical market shows the truth first, because partial/escorted/tolled reopening appears in transit counts before headlines. Watch the Hormuz transit tally and the Dubai/Oman spread as the two independent verifiers of any announcement. ICMA's Parker has already flagged a partial opening as the likely case.

Positioning risk. Steep curve backwardation pricing resolution means the market is structurally under-hedged for failure. A talks-collapse reprices the front violently because the long end never moved off its ~\$65–70 anchor.

Head-fake risk. The leak-then-deny cycle has now repeated several times since March; each has reversed prices double digits. The late-May Axios/Xinhua framework drew the same pattern — reported, then walked back by both capitals. Future "deal" headlines should be discounted heavily until both governments publicly confirm a signed text, not a framework.

Escalation risk. Combat continued through the talks (US strikes in southern Iran; Iranian ballistic missiles toward Kuwait), raising the probability that the U.S. abandons negotiation for force if the clock runs out — which removes Iran's leverage but does not necessarily reopen Hormuz quickly.

Partial-reopening risk. An intermittent, escorted, tolled, or "Iranian-managed" reopening smears the binary into a prolonged muddy tightening, stretching the timeline and blunting both the supply-buffer urgency and the diplomatic incentive to settle. This is the same configuration as the optical branch and is now the live sticking point.

Data-latency risk. The SPR print is through 29 May; prices through 4 Jun; the post-roll Asian spread and any signing are not yet in hand. This market moves on single headlines. Treat the verdict as a snapshot of the contested deadline at this date, not a forecast of its outcome.

§ § §

A reserve sized by stock-flow thinking is now being defended by exploiting the gap between stock and flow — but the same barrel cannot be both spent into the spot market and held as a buffer. The signal and the supply are spent in the same act. Conservation of matter sets the clock.

Sources & Notes — v2

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3. U.S. DOE / Office of Petroleum Reserves: tender RFPs and award announcements, Mar-May 2026 (45.2 / 8.5 / 26 / 53.3 mb).
4. Joe DeLaura (Rabobank), via Bloomberg, "Oil market complacent; mid-July hockey-stick inflection," 28 May 2026.
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9. Kpler, "Iran war and the Strait of Hormuz: oil market implications six weeks in," 7 Apr 2026; IEA monthly report; Atlantic Council dispatch on Hormuz buffer exhaustion; CRS R45281.
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12. Bloomberg, "Trump asserts no nation will control Strait of Hormuz; talks ongoing," 28 May 2026 — key sticking points table (maritime traffic, frozen assets, Lebanon, HEU).
13. Xinhua, "Iran-US 60-day MOU reportedly drafted," 29 May 2026 (subsequently disowned in initial form).
14. Reuters / Tasnim News Agency: Iranian source statement disputing Western reports of finalized MOU, 29 May 2026.
15. Vice President J.D. Vance, statement to reporters at Joint Base Andrews, via TASS / Axios, 29 May 2026: talks "in good faith," HEU stockpile and enrichment as named sticking points, "hard to say when or if" Trump signs. Axios initial report citing sources that a draft was awaiting Trump approval.
16. Axios, "What's inside the Iran deal Trump is close to signing," late May 2026 — reported 60-day MOU terms: Hormuz reopened with no tolls, 30-day mine-clearing, blockade lifted, oil sales resume, nuclear talks to follow.
17. Al Jazeera, "US-Iran 60-day proposal: What we know," 29 May 2026 — framework awaiting Trump approval; neither government confirming.
18. The Hill, "US-Iran ceasefire extension deal," late May 2026 — tentative agreement; Iranian state media says not finalized; US "defensive strikes" in southern Iran, Iranian ballistic missiles toward Kuwait.
19. CNN live coverage, 29-30 May 2026 — Trump's Friday demands (Hormuz, nuclear, frozen assets) not received well in Tehran; MoU "at best a work in progress"; HEU-destruction claim repudiated by Iranian state media.
20. CNBC, "Oil drops ~20% from 2026 peak on US-Iran ceasefire optimism," 29 May 2026 — Brent ~\$92.56, worst month since the pandemic; ICMA's Bob Parker warns any Hormuz reopening likely "only partial," citing refinery damage, depleted inventories, tanker-security frictions; \$90-100 range expected near-term.
21. Bloomberg futures benchmarks (BBG tickers C01/COA Brent, CL1/CLA WTI, DBL1/DBLA Mini-Dubai, OQA1/OQAA

Oman; DOESSPR; AUTMUSAG): daily open/high/low/close through 4 Jun 2026. Spreads computed front-month minus spot. July→August contract roll noted around 29 May; post-roll Asian spot prints excluded as artifacts.

v2.2 working paper. Analytical reconstruction for informational purposes only – not investment, legal, or financial advice. Figures are from public reporting and may contain estimation error; China SPR / Chinese imports figures are analyst estimates as official data is not published. Market data is dated through 29 May (SPR) and 4 Jun 2026 (prices); the diplomatic situation was actively evolving at time of writing and the 60-day MOU was tabled but unsigned. Spread series are on the Bloomberg futures basis (front-month minus spot); the post-roll Asian spread and any signed deal text are not yet in hand. The suppression thesis is strong-circumstantial and was partly softened by the 29 May draw taper – a single contrary print, not a trend; its distinguishing test (DOE behavior as the crisis recedes or if the strait stays shut) has not yet fully run. The contested-deadline and two-clocks framings are strategic-inference readings consistent with observed behavior, not proven accounts of intent.